EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Buguey was founded and created on May 20, 1623 as a town by virtue of the Royal Decree issued by the King of Spain. The Municipality is situated at the northern part of the Province of Cagayan. It is bounded on the north by the Babuyan Channel, on the south by the Municipality of Lal-lo, on the east by the Municipality of Sta Teresita (former part of Buguey), and on the west by the Municipality of Aparri.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Buguey for CY 2025 and was aimed at determining whether Management presented fairly the Financial Statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs) and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial position and financial performance of the Municipality of Buguey, Cagayan for the year ended December 31, 2025, with comparative figures for CY 2024, are as follows:

Particulars	2025	2024	Increase/ (Decrease)
Financial Position			
Assets	525,825,627.15	391,733,110.53	134,092,516.62
Liabilities	196,713,180.04	85,306,318.64	111,406,861.40
Government Equity	329,112,447.11	306,426,791.89	22,685,655.22
Financial Performance			
Income	219,169,697.02	190,870,554.15	28,299,142.87
Expenses	196,598,582.68	190,034,713.38	6,563,869.30
Net Income	22,571,114.34	835,840.77	21,735,273.57

D. Operational Highlights

The major accomplishments of the Municipality for CY 2025, in terms of implementation of programs, projects and activities, are as follows:

Name of Program/ Project/ Activity	Amount
Concreting of Various Barangay Roads	P 15,435,483.00
Concreting of Local Road (Santa Isabel)	9,974,010.18
Construction of Motorpool	5,991,623.38
Concreting of Villa Cielo Road, Phase II	4,997,499.63
Construction of Super Health Center	4,994,620.31
Construction of Agri-Processing Center	4,267,004.34
Improvement of Buguey Public Market	2,990,648.63
Electrification and Construction of Equipment Pad of Cold Chain Facility	2,490,697.51
Total	**P 51,141,586.98**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the Financial Statements of the Municipality of Buguey, Cagayan for the year-ended December 31, 2025 due to: (1) non-completion of the one-time cleansing procedures for its Property, Plant and Equipment (PPE) and non-submission of the Report on Physical Count of Property, Plant and Equipment, with a net book value of P301,374,680.28; (2) erroneous recording in Loans Receivable – Government-Owned and/or Controlled Corporations and Loans Payable accounts totaling to P37,578,947.95; (3) non-accrual of the accumulated earned and unused leave credits of permanent, casual and elective government personnel totaling to P29,789,974.59; (4) existence of various reconciling items reflected in the Bank Reconciliation Statements totaling P10,997,496.18, which remained unadjusted in the books of accounts of the Municipality for a long period of time; and (5) continued recognition of Inventory accounts rather than expense, with a total cost of P8,229,229.96, for items that were already issued.

F. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. Cash advances granted to officials and employees of the Municipality, including multiple grants to an official, totaling to P525,983.98 remained unliquidated as at year end, which is an indication of weak internal control of the Municipality over the grant and liquidation of cash advances, resulting to overstatement of asset and understatement of expenses.

   We recommended that the Management:

   a. Require the immediate liquidation of the outstanding cash advances as the prescribed period for liquidation has already lapsed, otherwise, cause the withholding of the salaries of the persons liable pursuant to paragraphs 9.2 and 9.3 of COA Circular No. 97-002 dated February 10, 1997;

b. Ensure that all cash advances are liquidated as soon as possible or within the prescribed period as provided for in the aforementioned regulations;

c. Ensure that no additional cash advance shall be granted to any official or employee unless the previous cash advance has been settled; and

d. Ensure strict compliance with Section 89 of Presidential Decree No. 1445 and COA Circular No. 97-002 dated February 10, 1997 to avoid the sanctions provided by law.

2. Various receivables totaling to P1,328,612.70 as at December 31, 2025 remain unsettled for ten (10) years or more due to non-compliance with the guidelines and procedures on the proper disposition, and write-off of dormant accounts, thus, affecting the accuracy and reliability of the Financial Statements.

   We recommended that the Management undertake the following:

   a. Require the Municipal Accountant to prepare the necessary schedules and documents as outlined in Items 6 and 7 of COA Circular No. 2023-008 dated August 17, 2023;

   b. Upon receipt of the report of the Municipal Accountant, the Local Chief Executive shall create an Investigation Committee to conduct proceedings within thirty (30) working days from the receipt of the order. The Committee shall determine the cause/s of loss or destruction of documents, identify the officials and employees liable for such loss, and look into the absence or presence of negligence on the part of the Accountable Officer;

   c. The Investigation Committee shall submit to the Local Chief Executive the investigation report within five (5) working days from the completion of the investigation and the latter to render a decision; and

   d. The Municipal Accountant through the Local Chief Executive shall file with/through the Audit Team Leader and/or Supervising Auditor, a request for approval of COA to write-off/derecognize from the books the dormant accounts pursuant to the provisions of COA Circular No. 2023-008 dated August 17, 2023.

3. The existence of an unremitted balance in the Due to Pag-IBIG account totaling to P388,675.39, after deducting the remittance for December 2025 premiums and loan amortization, thereby, exposing the Municipality to possible penalties, fines and personal and legal liability for failing to remit contributions to Pag-IBIG and depriving employees of the benefit they are entitled to from the Pag-IBIG Fund.

   We recommended that the Management direct the Municipal Accountant to undertake the following:

a. Reconcile accounts with the Home Development Mutual Fund (HDMF) and immediately remit all valid and outstanding Pag-IBIG premiums and loan amortizations; and

b. Ensure the regular review and accurate monthly reconciliation of the Due to Pag-IBIG account with the HDMF to prevent recurrence of unremitted contributions and loan amortizations, and to avoid imposition of penalties and other legal implications due to the delay or non-remittance of social contributions.

4. Various activities of the Municipality amounting to P3,244,857.22 did not conform with the Department of Interior and Local Government (DILG)-endorsed Gender and Development (GAD) Plan and Budget (GPB) dated July 9, 2024 and were inappropriately charged to the GAD Fund, thereby, exposing government funds to improper use and the intended gender and development objectives, performance indicators, and targets may not have been fully achieved.

   We recommended that the Management, through the Local Chief Executive, being the Chairperson of the GAD Focal Point System, undertake the following courses of action:

   a. Submit justification/explanation for the implementation of various activities that were not included in the DILG-endorsed GPB totaling to P1,413,087.22, the disbursements for activities which exceeds the DILG-endorsed GPB totaling to P1,150,600.00, and the inappropriate charges to the GAD Fund totaling to P681,170.00, to avoid suspension/disallowance in audit;

   b. Require the GAD Focal Point System to ensure that all GAD activities are aligned with the DILG-endorsed GPB, otherwise, inform the concerned DILG Office in writing if there are changes in the GPB and/or if there is a need to implement additional programs, projects and activities (PPAs) as relevant to current gender issues or GAD related undertakings;

   c. Require the Municipal Budget Officer to strictly monitor the utilization of appropriation of all GAD programs, projects and activities (PPAs) of the Municipality and comply with Section 336 of the Local Government Code of 1991; and

   d. Ensure the effective and efficient implementation of the GAD PPAs and the judicious utilization of the GAD budget and comply strictly with Section 32 of the General Appropriations Act of 2025 and Item 2.5 of PCW-NEDA-DBM Joint Circular No. 2012-01 by ensuring that the performance outcomes/indicators of all charges in GAD Fund are linked to the approved Annual GAD Plan and Budget otherwise, the transactions may be suspended/disallowed in audit.

G. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	32,346,198.08	-	-	32,346,198.08	-
Current Year	-	-	-	-	-
Total	**32,346,198.08**	**-**	**-**	**32,346,198.08**	-
Disallowances					
Prior Years	911,288.11	-	493,120.17	418,167.94	54.11%
Current Year	-	154,864.98	-	154,864.98	-
Total	**911,288.11**	**154,864.98**	**493,120.17**	**573,032.92**	**46.25%**
Charges			-		
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

H. Status of Implementation of Prior Year's Audit Recommendations

Out of the thirty seven (37) audit recommendations in the CY 2024 Annual Audit Report, twenty three (23) were fully implemented, and fourteen (14) were not implemented and reiterated in Part II of this Report.